

who was also a professor at the University of California at Irvine (in economics) and who was working on the same project. Thorp and Kassouf collaborated for a while, and in 1967, they co-authored their findings in *Beat the Market*. As a continuation of this work, Thorp eventually developed a version of what would later become the famous Black-Scholes option-pricing model. This formula was considerably more powerful than the research published in *Beat the Market*, and Thorp kept the formula to himself. After several years of very successfully trading his own money and managing money for a number of colleagues, in 1969, Thorp partnered with an East Coast broker, James Regan, to launch the first quant hedge fund (also the first market neutral fund), Princeton Newport Partners.

Princeton Newport Partners (PNP), as implied by its name, was structured as a two-office operation: Thorp headed up the research, programming, and trade generation in Newport Beach, while his partner, James Regan, ran the order execution, business administration, compliance, and marketing from the Princeton office. Thorp had divided the firm so that he could focus on doing what he loved—research—and rid himself of the business side obligations. The firm's divided structure worked extremely well for 19 years, but also led to its demise.

In December 1987, 50 federal agents raided the Princeton office to gather files and tapes as evidence of securities violations. United States Attorney Rudolph Giuliani eventually brought racketeering charges against PNP, the first time the RICO statute had been invoked against a securities firm. In August 1988, Regan and four other members of the Princeton office were indicted on 64 counts. The charges essentially boiled down to two items: stock parking (leaving shares with another party to conceal true ownership) and stock manipulation related to a Drexel securities offering.⁵

Although the PNP employees were originally convicted, their convictions were subsequently overturned, and none served any time in jail. Journalists covering the case almost universally assumed that Giuliani's Draconian prosecution (e.g., invoking the RICO statute), which was widely seen as out of proportion relative to the charges, was really intended to compel Regan and the other PNP employees to provide testimony against Michael Milken and Drexel.